15_Vendor_and_Procurement_Policy

Meridian Global Technologies Pvt. Ltd.

Document classification: Internal — Finance Access Only **Applies to:** All employees initiating a vendor relationship; Finance and Procurement teams **Last reviewed:** January 2026 | **Owner:** Procurement Team

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1. Purpose and Scope

This policy defines how the Company selects, onboards, contracts, and pays vendors, complementing the Finance Policies & Expense Memos document (which covers reimbursements and travel) and the Recruitment & Hiring Policy (which covers the separate case of recruitment agencies).

2. Vendor Categories

Category	Examples	Owning Function
Software/SaaS	Productivity tools, dev tools, analytics platforms	IT (security review) + Procurement
Professional services	Consulting, legal, audit	Requesting Department + Legal
Recruitment agencies	Staffing firms	HR (per Recruitment Policy)
Facilities & office	Cleaning, catering, office supplies	Admin/Facilities
Marketing & events	Agencies, event vendors	Marketing

Infrastructure	Cloud hosting, telecom	IT + Procurement

3. Vendor Onboarding Process

1. Requesting team identifies a vendor need and completes the Vendor Intake Form via the Finance portal.
2. Procurement conducts a basic due-diligence check (business registration, references, pricing comparison against at least one alternative for spends above INR 500,000/year).
3. For vendors requiring system access (software vendors, IT infrastructure), IT Security conducts a security review per the IT Acceptable Use & Security Rules document.
4. Legal reviews and finalizes the vendor contract for any engagement exceeding INR 200,000 or involving data sharing.
5. Vendor is added to the Approved Vendor List, and a Vendor ID is issued for use in future Purchase Orders.

4. Approval Matrix for New Vendor Engagements

Annual Contract Value	Approver(s)
Up to INR 200,000	Department Head
INR 200,001 - 1,000,000	Department Head + Finance Head
INR 1,000,001 - 5,000,000	Finance Head + CFO
Above INR 5,000,000	CFO + CEO

5. Purchase Order (PO) Requirements

All vendor spend requires a PO raised before work begins, except pre-approved recurring vendors on standing agreements (e.g. monthly cloud hosting). A PO must include: vendor ID, cost center, itemized scope, and expected delivery/invoice schedule. Work performed without a corresponding PO is not eligible for payment without a retroactive exception approved by the Finance Head.

6. Payment Terms and Process

Standard payment terms are Net 30 from invoice receipt, unless otherwise negotiated in the vendor contract. Payment processing:

1. Vendor submits invoice referencing the PO number.
2. Requesting team confirms deliverables were received/completed.
3. Finance matches invoice to PO (three-way match: PO, delivery confirmation, invoice).
4. Payment released per the Approval Matrix by Amount in the Finance Policies & Expense Memos document.

Payments above INR 500,000 require two-level Finance sign-off plus Procurement verification of deliverables, consistent with the Finance Policies document.

7. Vendor Performance Review

Vendors with annual spend above INR 1,000,000 are reviewed twice yearly by the owning department jointly with Procurement, assessing service quality, responsiveness, and cost competitiveness. Underperforming vendors are placed on a formal improvement plan or transitioned out at contract renewal.

8. Vendor Consolidation Initiative (Current)

As referenced in Finance Memo FIN-2025-015 (Temporary Budget Freeze on Non-Essential Software Spend), the Company is currently running a Q4 vendor consolidation review, aimed at reducing redundant SaaS subscriptions across departments. Until this review concludes, any new SaaS vendor request above INR 20,000 annually requires CFO approval in addition to the standard Approval Matrix in Section 4.

9. Conflict of Interest in Vendor Selection

Employees involved in vendor selection must disclose any personal or financial relationship with a prospective vendor, consistent with the Conflict of Interest section of the Company Rules & Code of Conduct document. Failure to disclose is treated as a policy violation regardless of whether the vendor was ultimately selected.

10. Common Questions This Document Answers

- **“How do we onboard a new vendor?”** — see the five-step process in Section 3.
- **“Who approves a new vendor contract?”** — depends on contract value, see the Approval Matrix in Section 4.
- **“Can we pay a vendor without a PO?”** — no, except pre-approved recurring vendors (Section 5).
- **“Why is there a freeze on new software vendors?”** — the ongoing Q4 vendor consolidation review, Section 8.

11. Contact

Vendor onboarding questions should go to procurement@meridianglobal.example.

Payment status questions should go to finance-support@meridianglobal.example.